COSMAS BHUDHE

v

THE STATE

IN THE HIGH COURT OF ZIMBABWE
DUBE-BANDA & ZISENGWE JJ
MASVINGO 27 May 2026 & 17August 2026

Criminal appeal

C. Gatsi, for the applicant
B. E. Mathose, for the respondent

DUBE-BANDA J

[1] This is an appeal against both conviction and sentence. The appellant appeared before the magistrates court sitting in Kwekwe. He was charged with four counts of fraud as defined in s 136 of the Criminal Law (Codification and Reform) Act [*Chapter 9:23*] "the Criminal Law Code."

[2] In count one, it was alleged that on 3 May 2023 and at ZB Bank, Kwekwe, the appellant made a misrepresentation to Kudzai Dube that he had applied for a loan, knowing that Kudzai Dube had no knowledge of such, causing a prejudice of US$4692-00 to Kudzai Dube. In count two, it was alleged that on 7 September 2023 and at ZB Bank, Kwekwe, the appellant made a misrepresentation to Kudzai Dube that he had applied for a loan, knowing that Kudzai Dube had no knowledge of such, thereby causing a prejudice of US$7700-00 to Kudzai Dube.

[3] In count three, it was alleged that on the 24 May 2023 and at ZB Bank, Kwekwe, the appellant made a misrepresentation to Musiiwa Chikukwa that he had applied for a loan, knowing that Musiiwa Chikukwa had no knowledge of such, thereby causing a prejudice of US$4080-00 to Musiiwa Chikukwa. In count four, it was alleged that on the 24 November 2023 and at ZB Bank, Kwekwe the appellant made a misrepresentation to Musiiwa Chikukwa that he had applied for a loan, knowing that Musiiwa Chikukwa had no knowledge of such, thereby causing a prejudice of US$6550-00 to Musiiwa Chikukwa.

Factual Background

[4] The appellant was employed by ZB Bank as a Consultant or Assistant Personal Banker. His duties were, amongst others, to process loan applications, the assessment of the loan applications, and the approval of the applications within his limit of approval. The complainants, who are customers of the Bank, informed the Bank that they did not apply for certain loans, but they were loans reflecting on their bank accounts. An internal Bank investigation was instituted, and it showed that the appellant was the culprit; he was consequently charged as stated above. The detailed allegations are contained in the State outline.

[5] In count one, the detailed allegations were that the appellant crafted loan processing documents in respect of Kudzai Dube without his knowledge. He then used fake signatures purportedly belonging to this complainant and sent the documents to ZB Bank management, who deposited US$4692 into the complainant's account. After the money was deposited, the appellant withdrew it between 3 and 8 May 2023 using fake withdrawal slips, presenting them as if they originated from this complainant. Value defrauded was US$4692, and nothing was recovered.

[6] In count two, the detailed allegations were that on 1 September 2023, Kudzai Dube applied for a loan in the sum of US$3000 and handed the loan application form to the appellant. The appellant received the loan papers and crafted his own fake loan processing check list with an inflated figure of US$7700; the money was then deposited in the complainant's account without his knowledge. On 7 September 2023, the appellant informed the complainant that his US$3000 loan was approved, and the complainant withdrew the money. The remaining balance of US$4018-89 was then converted by the ZB Bank to pay back the outstanding amount emanating from the fraudulent loan applied for on 3 May 2023. The matter came to light when the complainant discovered that the one-year loan repayment period, which he had been told by the appellant had ended yet the bank continued making deductions from his account. He then approached the bank for clarification. Value defrauded was US$7700, and USD3000 was recovered.

[7] In count 3, the detailed allegations were that on 18 May 2023 the appellant assisted the complainant to complete loan processing documents. He later advised the complainant that loans were frozen. On 24 May 2023, a loan of $4080-00 was credited into the complainant's account without his knowledge and consent. On 2 June 2023, the appellant forged transfer documents using internal transfer funds application forms and transferred $3650-00 into Kwekwe Enterprises ZB Bank account reference number ZB55602062381605, which belongs to Fraster Mahovo, without the knowledge and consent of the complainant. Value defrauded was US$4080-00 and nothing was recovered.

[8] In count four, the detailed allegations are that on a date unknown but during the month of November 2023, the complainant approached the Bank and was received by the appellant. The appellant persuaded the complainant to apply for a loan of $3500-00. The complainant completed loan application forms and went away. The appellant destroyed the loan application forms and crafted new application forms and disbursement forms. On 24 November 2023, the appellant inflated the loan amount to $6550-00 and disbursed the money into the complainant's account. The appellant advised the complainant that his US$3500-00 loan had been approved. The complainant withdrew $2770, and $3780 was then converted by the ZB Bank to pay back the outstanding arrears emanating from the fraudulent loan applied for on 24 May 2023. The matter came to light when the complainant discovered that his loan payment term had lapsed while the Bank continued to make deductions from his account. The complainant obtained a Bank statement and noted that the appellant inflated the loan amount without his consent. Value defrauded was $6550, and value recovered was $3780.

[9] The appellant pleaded not guilty to all counts. After a contested trial, he was found guilty in respect of all the four counts. Counts one and three were taken as one for the purposes and sentence, and he was sentenced to two years' imprisonment. In counts two and four, he was sentenced to two years' imprisonment *per* count. Of the total six years' imprisonment, one was suspended for five years on the usual condition of good behaviour. A further four months were suspended on condition of restitution, that he refunds Kudzai Dube the sum of USD$4692. A further four months were suspended on condition he restitutes the complainant Kudzai Dube, in respect of count two the sum of USD$4700. Again, a further four months were suspended

on condition he refunds Musiiwa Chikukwa, complainant in count three the sum of USD$4080. In addition, a further three months were suspended on condition he refunds Musiiwa Chikukwa the complainant in count four the sum of USD$2770.

Proceedings in the court *a quo*

[10] The State presented evidence from several witnesses. The evidence of Ennier Chipindu, a manager at ZB Bank, was that the appellant was employed as a consultant. His duties were to assist customers to apply for loans. In a loan application, a customer's identity card and payslip are attached to the application. The appellant, as a consultant, will carry out a due diligence process to ascertain whether the customer was a suitable person to be given a loan. If the consultant is satisfied that the customer is a proper person to be given a loan, he then recommends that a loan be given to the customer. The application is sent for approval. The consultant is permitted to approve a loan application that is with a certain threshold. If the amount applied for surpasses the consultant's approval limit, the application is sent to a manager or general manager for approval. If the loan is approved, a consultant prepares an offer letter to be signed by the customer and two Bank officials, that is, the consultant, and cluster advisor, or the manager. Then the consultant sends *via* email the Loan Checklist, offer letter, and the Financial Clearance Bureau "FCB" to the Loan Processing Department. The evidence of the manager is that she was approached by the ZB Bank customers who informed her that they had loans on their accounts which they did not apply for and obtain from the bank. She carried out an investigation which unearthed the scam and identified the appellant as the mastermind and executioner of these scams.

[11] The evidence of Tatenda Mudzingwa was that the appellant was improperly using the accounts of customers. He took advantage of a practice at the Bank that permits a supervisor to sign at the back of a withdrawal slip, with the customer's details, or send an email to withdraw cash from a customer's account. He then withdrew USD$1000 and USD$330 from Kudzai Dube's account using withdrawal slips that had the customer's details. By signing at the back of the withdrawal slip, the appellant meant that he was withdrawing the cash and took

personal responsibility for the transaction. The withdrawal slips and emails were produced in evidence.

[12] The complainants testified that the appellant was their contact person at the Bank. Kudzai Dube testified that on 30 August 2023 he could not withdraw money from his account because the account showed that he had an unsettled debt. On inquiry, the appellant told him that he had no debt with the bank. The appellant took the witness's bank card and withdrew money for him. He informed the appellant that he wanted to apply for a bank loan, and he was given loan application forms, and he applied for a USD$3000 loan. The appellant informed him that he would be repaying the loan at the monthly rate of USD$324 until October 2024. The appellant informed him that the loan had been approved and noted that his account had been credited with USD2800. He withdrew USD$500 on four occasions and stayed away from the Bank until October 2024. He noticed that further deductions were made from his account, and on inquiry from a Bank teller, he was told that he had a debt of USD7000 to be paid until August 2025. He then reported to the Bank and the police that someone had obtained a loan using his account.

[13] The complainant Musiiwa Chikukwa testified that in May 2023 he applied for a bank loan for USD$3500. The appellant was the contact person in the loan application. He did not receive the loan that he had applied for. On inquiry with the appellant, he was informed that the money was frozen at the Bank. In November 2023, the appellant informed him that his loan application had been approved. He received USD$2700. The appellant informed him that he would be repaying the loan at a monthly rate of USD225 for 12 months until November 2024. In November 2024, the Bank informed him that because he had applied for another loan, his repayment was not ending that month. On perusal of his bank statement, he noted that in May 2024, there was a transaction from his account in the sum of USD$3500 made to Kwekwe Enterprises, which was after his account was credited with USD$4080. He had no knowledge of this second loan and the payment to Kwekwe enterprises.

[14] In his defence case, the appellant adhered to his defence outline wherein he stated that he did not apply for a loan on behalf of anyone as alleged, let alone have access to alleged complainants' personal documents which are needed for loan applications. That it is impossible

to have initiated all four loan applications given the Bank's thorough vetting process, which goes through three different offices. That the loan administration process for salary-based individual loans makes it impossible for anyone to apply, approve, and disburse the loan funds by themselves. That if the loan is approved, the loan administration process would require that the customer sign an offer letter, which would then lead to the money being deposited into the customer's account, to which a notification of deposit is sent to the customer. That the loan administration process also requires that the customer bring forth its payslip, copy of national ID, and letter of confirmation from its employer to initiate the process. He would not have access to all those documents. That there is no audit report that shows loans were approved and money was deposited into his account instead of the customers' accounts.

[15] In its judgment, the court *a quo* found that it was not in dispute that in 2023 the appellant assisted Kudzai Dube and Musiiwa Chikukwa in their loan applications. In October 2023, he assisted Kudzai Dube to apply for a loan of USD$3000, to be repaid in full by October 2024. In May 2023, he assisted Musiiwa Chikukwa to apply for a loan of USD$3500, which was obtained in November 2023, to be repaid in full by November 2024. The court *a quo* also found that it was not in dispute that further loan applications were made in the names of Kudzai Dube, Musiiwa Chikukwa without their knowledge and consent. These loan applications were approved, money was credited in their accounts and withdrawn without their knowledge and consent. The question that the court *a quo* posed was whether the prosecution had proved, as required by the law, that it was the appellant who made these further loan applications in the names of Kudzai Dube and Musiiwa Chikukwa and withdrew money from their accounts without their knowledge and consent.

[16] The court *a quo* found that all loan applications passed through the appellant, and that the two questioned loan applications bore his signatures as the consultant and had FBC reports generated by this User. He approved the questioned loan for USD$4600 in the name of Kudzai Dube. The court accepted that it was the appellant who made withdrawals from Kudzai Dube's account. The court further accepted that the loan of USD$7000 in the name of Kudzai Dube was made by the appellant. Regarding counts three and four, the court found that the appellant lied to Musiiwa Chikukwa that his money was frozen when he the appellant had paid it to Kwekwe Enterprises. He then made a further loan application in the name of Musiiwa

Chikukwa to cover the money he paid to Kwekwe Enterprises. The court *a quo* concluded that the appellant was the mastermind of these fraudulent schemes and was convicted of all four counts.

Grounds of appeal

[17] Aggrieved by the convictions and sentences, the appellant noted this appeal, which is predicated on the grounds of appeal as amended in a notice filed on 3 October 2025. The grounds on which this appeal turns are these:

Ad conviction

i. The court *a quo* misdirected itself on a factual finding in that it convicted the appellant based on his role as a loans officer where there was evidence that loan processing involved multiple mandatory steps and personnel other than the appellant, thus constituting a gross irregularity.
ii. The learned magistrate misdirected himself on a factual finding in that he found the appellant guilty despite the State having failed to prove all the essential elements of the offence, thus making the conviction grossly unreasonable.
iii. The learned magistrate misdirected himself on a factual finding in that he found the appellant guilty solely on circumstantial evidence, which reliance was irrational, subsequently amounting to gross unreasonableness.

Ad sentence

The appellant submits that the sentence imposed is manifestly harsh and excessive such as to induce a sense of shock in that:

iv. The learned magistrate misdirected himself in passing a sentence on restitution for counts two and four based on figures that were not in that charge sheet.
v. The learned magistrate misdirected himself by paying lip service to the appellant's mitigatory factors in his sentencing reasons, thus amounting to a gross anomaly.

Wherefore the appellant prays for the following:

a) That the appeal succeeds with costs (*sic*).

b) That the convictions are hereby quashed and the verdict be substituted with the following:

"Accused is found not guilty and acquitted in respect of all the four counts."

In the event that the appeal against conviction does not stand, the appellant prays:

c) That the sentence of the court a quo be set aside and replaced with:

"Accused is hereby sentenced to four years imprisonment, of which two years is suspended for five years on condition that the offender does not commit an offence involving dishonesty during that period. A further five months is suspended in consideration of all mitigatory factors submitted. A further 12 months is suspended on condition that the offender restitutes the lost money within 12 months."

The respective contentions of the parties

[18] At the commencement of the hearing, Mr *Gatsi,* counsel for the appellant, informed the court that the appeal against sentence was abandoned, and that the appellant was persisting with the appeal against conviction. The appellant abandoned grounds four, five and six in the main notice of appeal, and persisted with grounds one, two and three as appears in the amended notice of appeal.

[19] The appellant argued that the prosecution had to prove that a misrepresentation was made to the complainants cited in the charge sheet, and that the complainants suffered prejudice or potential prejudice occasioned by the misrepresentation. It was argued that the prosecution did not prove that the misrepresentation was made to the complainants, because they did not know about the loan applications which the prosecution and the court *a quo* referred to as misrepresentation. It was submitted that there was no misrepresentation made in respect of the complainants which they could have acted on to their prejudice. It was submitted that even if there was misrepresentation, the complainants did not know about the matter. It was submitted

that on the facts as alleged, the Bank ought to have been the complainant. It was submitted that, in reliance on *S* v *Marconati* HH589/26, citing a wrong complainant renders the criminal proceedings defective and the appellant must be acquitted.

[20] In the heads of argument, the respondent opposed the appeal, arguing that the prosecution proved the State case beyond a reasonable doubt and the appeal against both conviction and sentence had no merit. It was contended that the court *a quo* rightfully rejected the appellant's version as false beyond a reasonable doubt. It was argued that the judgment of the court *a quo* cannot be faulted and the appeal must be dismissed in its entirety. However, in oral submissions, Mr *Mathose,* counsel for the respondent, conceded that ground number two has merit, primarily because the essential element of misrepresentation against the complainants was not proved. This concession was predicated on the case of *S* v *Marconati supra,* wherein an appeal against conviction was allowed because the alleged representation was not made to the person who was alleged to have been prejudiced or potentially prejudiced. It is a trite principle of law that a concession is important but not binding on this court. The court has a duty to traverse the evidence, the facts and the law and locate the point where the justice of the case is located.

Analysis

[21] Ground one in the notice of appeal attacks the factual finding of the court *a quo*. It is contended that the court *a quo* misdirected itself on a factual finding in that it convicted the appellant based on his role as a loans officer, where there was evidence that loan processing involved multiple mandatory steps and personnel other than the appellant, thus constituting a gross irregularity. The default position is that the factual findings of the trial court are presumed to be correct, unless they are grossly unreasonable and cannot be supported by the evidence on record. This position was articulated in *Hama* v *National Railways of Zimbabwe* 1996 (1) ZLR 664 (S), wherein the court held that:

> "The general rule of the law, as regards irrationality, is that an appellate court will not interfere with a decision of a trial court based purely on a finding of fact unless it is satisfied that, having regard to the evidence placed before the trial court, the finding complained of is so outrageous in its defiance of logic or of accepted moral standards that no sensible person who had applied his mind to the question to be decided could have arrived at such a conclusion."

[22] In *S* v *Mupande and 2 Others* (58 of 2022) [2019] ZWSC 58 (20 November 2019) the court said it is not enough to merely aver that another court would have arrived at a different conclusion on the same set of facts. One must go beyond that to prove that the court in making its decision had taken leave of its senses and therefore the finding is irrational.

[23] The argument that the loan processing involved multiple mandatory steps and personnel other than the appellant has no support in evidence. In his defence, the appellant argued that he was the only one who had a Financial Clearance Bureau "FCB" (account to check credit history of a client) at the Bank, such that other employees would obtain an FCB report using his account. The court *a quo* accepted the evidence of the Bank Manager that every employee at the supervisor position had his or her FC**B** account. The court *a quo* cannot be faulted for rejecting the appellant's version that he was the only one with an FCB account. The FCB accounts in respect of the fraudulent loans were generated by his User. He is the only one who had access, meaning he is the only one who had a password to his FCB account. It is his account that generated these FCB accounts for the fraudulent loans.

[24] The submission that the appellant worked with two other employees who could have created the fraudulent loan applications was rejected by the court *a quo*, and for good reasons. The Bank Manager's evidence is that the customer speaks to the consultant and no one else; in this instance, the consultant was the appellant. The specific contention that the appellant worked with two other people who could have created the false loan applications was not directly put to the Bank Manager in cross-examination. It is trite that failure to dispute or cross-examine on an important issue has consequences, in that the evidence is taken as accepted. The cross-examination was merely general that other employees might have created the loan papers, not that the appellant worked with two other people who could have created these false papers. The court *a quo* cannot be faulted in finding that the contention that there were two other people who could have created the false loan applications was an afterthought. The evidence shows that although other employees at the Bank can interact with clients, the loan application papers are processed by the consultant, who is the appellant. In addition, the contention that the appellant worked with two other people was not raised in the appellant's defence outline. This buttresses the court *a quo's* finding that this issue was taken as an afterthought in the defence case. On the evidence and the facts of this case, the finding that it was the appellant who created the fraudulent loan applications cannot be said to be irrationally or grossly unreasonable. In fact, it cannot be faulted.

[25] The second ground of appeal is that the learned magistrate misdirected himself on a factual finding in that he found the appellant guilty solely on circumstantial evidence, which reliance was irrational,

subsequently amounting to gross unreasonableness. In *R* v *Blom* [11] 1939 AD 188 at 202-203, the court enunciated the two cardinal rules of logic governing circumstantial evidence:

> "The inference sought to be drawn must be consistent with all the proved facts. If it is not, the inference cannot be drawn. The proved facts should be such that they exclude every reasonable inference from them save the one sought to be drawn."

[26] The court *a quo* found it as common cause that the appellant was a consultant at the Bank. His duties were *inter alia* mainly to do with loan applications, assessment, approval and processing. That in 2023 he assisted Kudzai Dube and Musiiwa Chikukwa in their loan applications. In October 2023 he assisted Kudzai Dube to apply for a loan of USD$3000, to be paid off in October 2024. In May 2023, he assisted Musiiwa Chikukwa to apply for a loan of USD$3500, which money he received in November 2023, to be paid off by November 2024. The court found it as common cause or not seriously disputed that there were other loans applied for in the names of Kudzai Dube and Musiiwa Chikukwa without their knowledge and consent, and money was credited to their accounts and again withdrawn without their knowledge and consent.

[27] The question for determination was whether it was the appellant who applied for these loans in the names of Kudzai Dube and Musiiwa Chikukwa and went on to withdraw the money from their accounts, leaving the complainants repaying those loans, thus suffering actual prejudice. The court found it proved that the appellant was the culprit who committed these crimes. The issue for determination is this appeal is whether this factual finding is not supported by the evidence on record and so irrational that it ought to be vacated.

[28] The evidence shows that in October 2023, Kudzai Dube applied for a loan of USD$3000 and was informed that the repayment period would end in October 2024. The evidence further shows that two more loans were applied for in the name of Kudzai Dube; one was in May 2023 for USD$4600 and the other in September 2023 for USD$7000. The loan documents that Kudzai Dube admitted do not match the documents before court as exhibits both in terms of the amount and the date of the loan application. The evidence proved that someone applied for these loans in the name of Kudzai Dube without her knowledge and consent. The appellant was the consultant. He was the interface between the Bank and the loan applicants. Loan applications would pass through him until they were sent to the Loan Processing Department. The two loan applications in the name of Kudzai Dube bore his signature, and the FCB reports were generated by his User. In the customer file, there were no documents for these loans; the documents had to be recovered from the Loan Processing Department. The documents found

at the Loan Processing Department were sent to that department by the appellant for the loans to be processed. The loan for USD$4600 had forged details, particularly the bottom part of the second page of the Loan Processing Checklist. The appellant signed and approved these loans. The evidence shows that several withdrawals were made from Kudzai Dube's account. These withdrawals were made in May 2023, the month the loan of USD$4600 was applied for. There is credible evidence that the withdrawals were made by the appellant.

[29] In respect of the loan of USD$7000, the evidence shows that the details of Kudzai Dube were forged to apply for this loan on a loan application which had been previously approved for one Golden Mazivazvose. Kudzai Dube's details were merely replaced by an act of forgery, replacing Golden Mazivazvose's details on a loan application form. No application was then required, because the loan for Golden Mazivazvose had already been approved; what was left was to send the loan approval checklist, offer letter and FCB report to the Loan Processing Department for the loan to be disbursed. The evidence shows and the court *a quo* found that this loan was applied for by the appellant. This finding cannot be faulted.

[30] In respect of the third and fourth counts involving Musiiwa Chikukwa, the evidence shows that in May he applied for a loan of USD3500. After the loan was approved, he did not get the money. The appellant informed him that the money was frozen in his account. The acceptable evidence is that the money was credited in the customer's account and transferred to an entity called Kwekwe Enterprises. In November 2023, the appellant informed the customer that the loan money had been credited into his account. The court *a quo* found that it was the appellant who caused the money from Musiiwa Chikukwa's account to be transferred to Kwekwe Enterprises. To cover the first loan, the appellant then applied for a loan of USD$6500 in the name of the customer. The internal investigation could not find the loan application for this second loan. The Bank Manager found the Loan Approval Checklist, offer letter and FCB report sent by the appellant to the loan processing department. The finding that it was the appellant who diverted the USD$3500 from the customer's account to Kwekwe Enterprises cannot be faulted. It is again the appellant who applied for the USD$6500 loan to cover the first loan and to allow the customer to access the difference.

[31] Having considered the record and the submissions of counsel, I am satisfied that the trial court committed no misdirection. Its factual findings are reasonable and supported by the evidence. Its evaluation of the circumstantial evidence was consistent with the rule in *R v Blom*.

[32] The third ground of appeal is that the learned magistrate misdirected himself on a factual finding in that he found the appellant guilty despite the State having failed to prove all the essential elements of the offence, thus making the conviction grossly unreasonable.

[33] In s 136 of the Criminal Law (Codification and Reform) Act [*Chapter 9:23*], "the Act" fraud is defined as follows:

> "Any person who makes a misrepresentation—
>
> (a) intending to deceive another person or realising that there is a real risk or possibility of deceiving another person; and
>
> (b) intending to cause another person to act upon the misrepresentation to his or her prejudice, or realising that there is a real risk or possibility that another person may act upon the misrepresentation to his or her prejudice;
>
> shall be guilty of fraud if the misrepresentation causes prejudice to another person or creates a real risk or possibility that another person might be prejudiced."

[34] In *Israel Tangwena and Tonderai Muocha* v *The Prosecutor General* S-75-21, the Court said the essential elements of fraud as defined in s 136 may be paraphrased as follows:

a. Making a misrepresentation (false statement) to another person.
b. With the intention to cause another person to act on the misrepresentation to the actual or potential prejudice of any person.

[35] The Supreme Court elaborated that s136 of the Act is couched in broad terms encompassing a situation where misrepresentation can be made to a person other than the subject of the intended prejudice. In essence, this means a misrepresentation can be made to A and actual or potential prejudice be suffered by B. In such a case the prosecution would have proved a case of fraud as required by the law.

[36] In *S* v *Marconati* HH589/26 a judgment relied on by the applicant, this court (High Court) said:

> "In essence, the evidence failed to establish the essentials of the offence of fraud, because the alleged representation was not made to the person who is alleged to have been prejudiced or potentially prejudiced. …….On this basis alone the conviction could not stand, and the appellant ought to have been acquitted."

[37] The High Court judgment in *Marconati,* to the extent it is at variance with the Supreme Court judgment in *Israel Tangwena and Tonderai Muocha* v *The Prosecutor General* S-75-21 cannot be followed. This is so because the Supreme Court held that s 136 encompasses a situation where misrepresentation is made to a person other than the subject of the intended prejudice.

[38] In *casu*, the questions that arise for determination are these: was a misrepresentation made? If so, to whom was the misrepresentation made? Who suffered actual or potential prejudice? The evidence shows beyond a reasonable doubt that misrepresentations were indeed made. The appellant applied for bank loans in the names of Kudzai Dube and Musiiwa Chikukwa without their knowledge and consent and converted the proceeds from these loans to his own use. The next issue is to whom where the misrepresentations made? The fraudulent documents were not submitted by the complainants. The complainants did not know that the appellant was applying for Bank loans in their names and converting these loan funds to his own use. The fraudulent loan applications were submitted to the Bank. The gatekeeper was the Bank. The appellant dribbled past the gate manned by the Bank. In other words, it is the Bank that was tricked into believing that the loan applications were genuine and from its customers Kudzai Dube and Musiiwa Chikukwa, when in fact they were fraudulently created by the appellant. Therefore, the misrepresentations were not made to the complainants, but to the Bank.

[39 The fact that the charges allege that misrepresentations were made to Kudzai Dube and Musiiwa is inconsequential. In this regard it is important to consider the intention of s 136 of the Act, it is, as was stated in Israel *Tangwena and Tonderai Muocha* v *The Prosecutor General* S-75-21, to proscribe and punish theft by deceitful means. What is important is that the appellant crafted and actioned a deceitful strategy to steal money. He succeeded in his enterprise. In addition, in terms of s 157 of the Criminal Procedure and Evidence Act [*Chapter 9:07*] in an offence of fraud, it is not necessary in the charge to mention the owner of the property in question. Therefore, my view is that if it is not necessary to mention the owner of the stollen property, it follows that a misidentification of the victim of fraud is not fatal to the State case.

[40] Who suffered prejudice? The finding that the misrepresentations were not made to the complainants, but to the Bank is cold comfort to the appellant. This is so because a misrepresentation can be made to a person other than the subject of the intended prejudice. In *Israel Tangwena And Tonderai Muocha v The Prosecutor General supra* the Court said:

> "In plain layman's language, fraud may however be defined as dishonestly making a false misrepresentation with the intention to cause actual or potential prejudice to another person. The intention of the legislature in s136 of the Act was to proscribe and punish theft by deceitful means. In the context of the statutory definition of fraud, its essential elements may be paraphrased as follows:1. Making a misrepresentation to another person. 2. With the intention to cause another person to act on the misrepresentation to the actual or potential prejudice of any person. *Section 136 of the Act is couched in broad terms encompassing a situation where the misrepresentation is made to a person other than the subject of the intended prejudice.* To constitute fraud, it is sufficient that a misrepresentation is made to any person with the intention of causing any other person actual or potential prejudice. In casu, it does not therefore matter that the misrepresentation was made to the Registrar of Companies with the intention of causing prejudice to the complainant." (My emphasis).

[41] In this case there is potential and actual prejudice. Potential prejudice might have been suffered by the Bank. This is so because money in a bank account of a customer belongs to the bank, which it can use as it pleases so long as it pays to the customer, on demand, the equivalent of the amount deposited in the account. See: *Standard Chartered Bank Zimbabwe Limited* v *China Shougang International* S-49-13; *ABC Bank* v *Mackie Diamonds* SC 23/13; *Foley* v *Hill* (1848) 2 H.L. Cas 28. The money was stollen in the hands of the Bank. Therefore, the money that was stollen might have been the Bank money. However, actual prejudice was suffered by Kudzai Dube and Musiiwa Chikukwa. This is so because the evidence shows that the two complainants paid the Bank the fraudulent loans taken in their names by the appellant. Therefore, on the evidence, the facts and the law, the court *a quo* cannot be faulted for convicting the appellant of the crimes charged.

[42] In any event, even if one were to conclude that actual prejudice was suffered by the Bank, this would still not be a basis to set aside the appellant's conviction. This is so because s 38(2) of the High Court [*Chapter 7:06*] states that:

> "Notwithstanding that the High Court is of the opinion that any point raised might be decided in favour of the appellant, no conviction or sentence shall be set aside or altered unless the High Court considers that a substantial miscarriage of justice has actually occurred."

[43] A substantial miscarriage of justice generally occurs when an accused is tried, convicted and punished for a crime he or she did not commit. In other words, when there is no evidence to support a finding of guilt. In this case, there is overwhelming evidence that through fraudulent trickery the appellant embezzled money. It was the appellant who made fraudulent loan applications in the names of Kudzai Dube and Musiiwa Chikukwa without their knowledge and consent. He withdrew the money from the account of Kudzai Dube, and paid

Kwekwe Enterprises from the account of Musiiwa Chikukwa. The conviction is justified by the evidence. As stated above, the fact that misrepresentation was made to the Bank, and even if actual prejudice was suffered by the Bank, it cannot be said that a substantial miscarriage of justice has actually occurred. In the circumstances, the appeal against conviction has no merit and must fail.

[44] It is for the above reasons that I take the view that the concession by the respondent that the appeal against conviction has merit was not properly taken.

[45] As stated above, at the commencement of the hearing, the appellant abandoned the appeal against sentence.

In the result, I order as follows:

The appeal be and is hereby dismissed in its entirety.

Mehlo and Partners, appellant's legal practitioners
National Prosecuting Authority, respondent's legal practitioners

ZISENGWE J:.....Agrees